

## Late Fee Policy Specification v2.1

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### 1. Grace Period Definition

Customers have a grace period after the payment due date before a late fee is applied.

Standard accounts: 7 days grace period.

Premium accounts: 14 days extended grace period.

### 2. Late Fee Calculation

Late fee rate: 1.5% of the outstanding balance per day overdue after the grace period.

Maximum late fee cap: 25% of the original invoice amount.

Late fees are calculated on a daily basis starting from day 1 after the grace period expires.

### 3. Payment Cancellation Window

Payments may be cancelled within the grace period without incurring fees.

Cancellation is not permitted once stock confirmation has been acknowledged.

### 4. Customer Eligibility

All account types are subject to late fee policies.

Premium accounts receive extended grace period as a loyalty benefit.

Accounts in arrears for more than 90 days are escalated to collections.

### 5. Stock Confirmation Rule

Payment processing requires confirmation that stock is available.

Stock availability must be validated before payment authorization proceeds.

Double-validation of stock across services should be reconciled.

### 6. Buyer and Customer Terminology

The term 'buyer' is used in the ordering service to identify the purchasing party.

The term 'customer' is used in the payments service for the same entity.

A shared canonical term 'customer\_id' is recommended for future consistency.